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households, firms or industries. It studies how business firms operate under different market conditions and how the combined actions of buyers and sellers determine prices. Micro economics covers

(i) Value theory (Product pricing and factor pricing)

(ii) Theory of economic welfare

The terms 'micro economics' and 'macro economics' were first used in economics by Norwegian economist *Ragner Frisch* in 1933. After Prof. Frisch, the terms earned popularity when J.M. Keynes clearly distinguished between the terms through his book entitled '*General theory of 'Employment, Interest and Money*' published in 1936.

1.8.2 Macro-economics

Macro economics is the obverse of micro economics. It is concerned with the economy as a whole. It is the study of aggregates such as national output, inflation, unemployment and taxes. *The General Theory of Employment, Interest and Money* published by Keynes is the basis of modern macro economics.



Difference between Micro Economics and Macro Economics

Micro Economics	Macro Economics
1. It is that branch of economics which deals with the economic decision-making of individual economic agents such as the producer, the consumer etc.	**1.** It is that branch of economics which deals with aggregates and averages of the entire economy. E.g., aggregate output, national income, aggregate savings and investment, etc.
2. It takes into account small components of the whole economy.	**2.** It takes into consideration the economy of the country as a whole.
3. It deals with the process of price determination in case of individual products and factors of production.	**3.** It deals with general price-level in any economy.
4. It is known as price theory	**4.** It is also known as the income theory.
5. It is concerned with the optimization goals of individual consumers and producers	**5.** It is concerned with the optimization of the growth process of the entire economy.